NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH, COURT – II
CHENNAI

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, CHENNAI BENCH, HELD ON 02.03.2026 AT 10.30 A.M. THROUGH VIDEO CONFERENCING:

PRESENT: SHRI. JYOTI KUMAR TRIPATHI, HON'BLE MEMBER (JUDICIAL)
SHRI. RAVICHANDRAN RAMASAMY, HON'BLE MEMBER (TECHNICAL)

PETITION NUMBER	**: CP(CAA)/27/CHE/2025**
APPLICATION NUMBER	**: CA(CAA)/6/CHE/2025**
NAME OF THE APPLICANT	**: K K P Weaving and Processing Mills Pvt Ltd**
NAME OF THE RESPONDENT(S)	**: --**
UNDER SECTION	**: Sec 230 to 232 of CA 2013**

ORDER

Present: Ld. Counsel Mr. V.Srinivasan for the Applicant.

Ld. Counsel Mr. Raj Jhabakh for Income Tax Department.

Mr. B.Palani for OL.

Vide separate order pronounced in open court, petition is allowed.

-SD-
RAVICHANDRAN RAMASAMY
Member (Technical)

-SD-
JYOTI KUMAR TRIPATHI
Member (Judicial)

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IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP (CAA)/ 27(CHE)/2025

In

CA (CAA)/ 6(CHE)/2025

(Filed under Sections 230 to 232 of the Companies Act, 2013)

In the matter of Scheme of Amalgamation among M/s. KKP Weaving and Processing Mills Private Limited (1st Transferor Company), M/s. KKP Hi-Tech Weaving India Private Limited (2nd Transferor Company) and M/s. KKP Spinning Mills Private Limited (Transferee Company)

KKP WEAVING AND PROCESSING MILLS PRIVATE LIMITED,
CIN: U15142TZ1983PTC001344,
3/172-Salem Trichy Main Road, Athanur, Rasipuram,
Namakkal (Dist.), Tamil Nadu – 636 301,
Represented by its Managing Director,
Mr. Nallathambi P., Authorized signatory

... 1st Petitioner / Transferor Company

And

KKP HI-TECH WEAVING INDIA PRIVATE LIMITED,
CIN: U17111TZ2009PTC015181,
No.88, Salem Road, Namakkal, Tamil Nadu – 637 001,
Represented by its Managing Director,
Mr. Nallathambi P., Authorized signatory

... 2nd Petitioner / Transferor Company

With

KKP SPINNING MILLS PRIVATE LIMITED,
CIN: U17111TZ1993PTC004731,
No.88, Salem Road, Namakkal, Tamil Nadu – 637 001,
Represented by its Managing Director,
Mr. Nallathambi P., Authorized signatory

... 3rd Petitioner / Transferee Company

Order Pronounced on ***02.03.2026***

CORAM

SHRI. JYOTI KUMAR TRIPATHI, MEMBER (JUDICIAL)
SHRI. RAVICHANDRAN RAMASAMY, MEMBER (TECHNICAL)

Present: -

For Petitioners	*: V Srinivasan, Advocate*
For Regional Director	*: Avinash Krishnan Ravi, Advocate*
For Income Tax Dept.	*: Rajkumar Jhabakh, Advocate*
For Official Liquidator	*: Pola Raghunath & B. Palani*

ORDER

(Hearing Conducted though Hybrid Mode)

1. This Company Petition has been filed by **M/S. KKP WEAVING AND PROCESSING MILLS PRIVATE LIMITED** (hereinafter "1st Transferor Company) and **M/S. KKP HI TECH WEAVING INDIA PRIVATE LIMITED** (hereinafter "2nd Transferor Company") with **M/S. KKP SPINNING MILLS PRIVATE LIMITED** (hereinafter "Transferee Company") under section 230-232 of the Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') for approval of the Scheme of Amalgamation (hereinafter referred to as the '**SCHEME**') proposed between the Petitioners Company.

2. Affidavit have been filed in support of the petitions sworn in by **Mr. Nallathambi P.** for all the Petitioner Companies in the capacity of Director/ Authorised Representative. Corresponding Extracts of Board Resolutions dated 10.10.2024 is placed on record.

3. 1ST MOTION APPLICATION

The Petitioner Companies had filed First Motion Application vide CA(CAA)/6(CHE)/2025 and sought directions for Dispensation/ Convening the meeting of its Members/ Shareholders and Creditors regarding approval of the proposed Scheme. Based on the submissions,

this Tribunal vide Order dated 28.03.2025 ordered for dispensation of the meetings of Equity Shareholders/ Members, Secured & Unsecured Creditors of the Petitioner Companies.

4. SCHEME SUMMARY

The Scheme of Merger by Absorption of **KKP WEAVING AND PROCESSING MILLS PRIVATE LIMITED** and **KKP HI-TECH WEAVING INDIA PRIVATE LIMITED** with **KKP SPINNING MILLS PRIVATE LIMITED** and their respective Shareholders. Both the Petitioner Companies come under the jurisdiction of this Tribunal.

5. RATIONALE OF THE SCHEME

The rationale and benefits of the Scheme are briefed in Clause 1.6 of the Scheme as follows,

> *"1. The Board of Directors of all the Transferor Companies and Transferee Company anticipate the following benefits pursuant to the amalgamation of the 1st and 2nd Transferor Companies with the Transferee Company inter alia as follows: -*
>
> *a. The present Scheme proposed is the amalgamation of the 1st Transferor Company and 2nd Transferor Company (collectively referred to as "Transferor Companies") with the Transferee Company in order to ensure better management of the company as a single company with focused management for the purpose of synergy in operations better economical management and control.*
>
> *b. To combine the resources of the Transferor Companies and the Transferee Company with a view to optimise their utilization effect internal economies and improve efficiency.*
>
> *c. Since the Transferor Companies and Transferee Company are already under the same management, the Scheme will facilitate to achieve the above by carrying on the business of the Transferor Companies as part of the Transferee Company's business and making available for the same the extensive resources and credit worthiness of the Transferee*

Company. The amalgamation will further enable to reduce the number if entities within the same management hat required to be administered and also result in simplification corporate structure.

d. The Scheme will lead to better and more economic control and efficient management with greater focus and attention and optimum utilization of available resources.

e. The Scheme will eliminate the inter-company holdings and layering of investments and business operations would benefit both the Transferor companies and Transferee company.

f. The Scheme will lead to synergetic benefits, cost reduction, higher efficiencies and better utilization of available resources, better leveraging for financial benefits and contributing to significant growth.

g. The merged entity will have higher efficiencies and better leveraging for financial benefits and contributing to significant future growth.

h. The merged entity will have stronger asset base and infrastructure for future growth.

i. The reasonable size of operations that will improve the stature of the company and integration of administrative practices and implementation of uniform management practices."

It is stated that the Board of Directors of both the Petitioner Companies have proposed the Scheme of Amalgamation. This Scheme provides for various other matters consequential or otherwise integrally connected herewith.

6. In the second motion Petition filed by the Petitioner Companies, this Tribunal vide order dated 07.05.2025 directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities concerned as well as directed to issue paper publication.

7. In compliance with the said directions issued by this Tribunal, the Petitioner Companies effected paper publications in ***"Business Line"*** in English (All India Edition) and ***"Makkal Kural"*** in Tamil (Tamil Nadu

Edition) on 21.05.2025 and 20.05.2025 respectively. The notices were also served to

(i) Regional Director, Southern Region, Chennai,
(ii) Official Liquidator,
(iii) Registrar of Companies Chennai,
(iv) Income Tax Department and other regulators.

Pursuant to the service of notice of the petitions, the following statutory authorities have responded.

8. STATUTORY / REGULATORY AUTHORITIES

8.1. REGIONAL DIRECTOR

8.1.1. The Regional Director (RD), Southern Region to whom the notice was served on 19.05.2025, has filed its report on 18.08.2025 and has expressed its 'Observations' and 'No Objection' to the Scheme as follows,

> *"3. That as per Clause 2.3 of Part 2 of the Scheme provides the Appointed Date means April Of, 2024 (herein after referred to as "Appointed Date").*
>
> *4. That as per Chartered Accountant's certificate, that there are 6 (Six) Equity Shareholders to this effect as on 30.09.2024 in the Transferor Company 1, whose consents by way of Affidavit have been obtained and this Hon'ble Tribunal vide its order dated 28.03.2025 in CA(CAA)/6/(CHE)2025 had stated that consent by way of affidavit forming l00% value has been obtained and are placed on record, and the necessity to convene and hold a meeting is dispensed with..*
>
> *5. That as per Chartered Accountant's certificate, that there are 5 (Five) Equity Shareholders to this effect as on 30.09.2024 in the Transferor Company 2 whose consents by way of Affidavit have been obtained and this Hon'ble Tribunal vide above said order dated 28.03.2025 had stated that consent by way of affidavit forming l00% value has been obtained and are placed on record, and the necessity to convene and hold a meeting is dispensed with.*

6. That as per Chartered Accountant's certificate, there are 12 (Twelve) Equity Shareholders in the Transferee Company, whose consents by way of Affidavit have been obtained and this Hon'ble Tribunal, vide its above said order dated 28.03.2025 had stated that consent by way of affidavit forming l00% value has been obtained and are placed on record and the necessity to convene and hold a meeting is dispensed with.

7. That as per Chartered Accountant's certificate, that there is 1 (One) Secured Creditor each in the Transferor Company -1 and Transferor Company-2 respectively and consents by way of Affidavit have been obtained and this Hon'ble Tribunal vide its above said order dated 28.03.2025 had stated that consent by way of affidavit formingl00% value has been obtained and are placed on record, and the necessity to convene and hold a meeting of Secured Creditors of Transferor companies are dispensed with.

8. That as per Chartered Accountant's certificate, that there are 5 (Five) Secured Creditors in the Transferee Company, whose consents by way of Affidavit have been obtained and this Hon'ble Tribunal vide its said order dated 28.03.2025 had stated that consent by way of affidavit forming l00% value has been obtained and are placed on record, and the necessity to convene and hold a meeting is dispensed with.

9. That as per Chartered Accountant's certificate, there are 12 (Twelve) Unsecured Creditors in the Transferor Company – 1 and there is NIL Unsecured Creditors in the Transferor Company-2. This Hon'ble Tribunal vide its order 28.03.2025 in CA(CAA)/6/(CHE)2025 had stated that consent by way of affidavit forming l00% value has been obtained from the Unsecured Creditors of Transferor Company-1 and are placed on record, and the necessity to convene and hold a meeting is dispensed with there is Nil Unsecured Creditors in the Transferor Company-2. Therefore, the necessity to convene and holding a meeting does not arise.

10. That as per Chartered Accountant's certificate, there are 16 (Sixteen) Unsecured Creditors in the Transferee Company, whose consents by way of Affidavit was given by 14 Unsecured Creditors amounting to 98.9/%

have been obtained and this Hon'ble Tribunal vide the said order dated 28.03.2025, had stated that consent by way of affidavit forming l00% value has been obtained and are placed on record, and the necessity to convene and hold a meeting is dispensed with.

11. That Clause 5.1 of Part 5 of the Scheme provides that upon the scheme becoming effective, that Clause V of the Memorandum of Association of the Transferee Company (relating to the authorized share capital) shall, without any further act, instrument or deed, be and stand altered, modified and amended pursuant to the applicable provisions of the Act, in the manner set out below and be replaced by the following clause
"The Share Capital of the Company is Rs. 28,75,00,000/- divided into 2,87,500 Equity shares of Rs.1000/- each and the company shall have power to increase or reduce the capital and will be at liberty to issue any shares with special rights or privileges as to voting, dividend, capital or to subject the same to any restrictions, limitations or conditions as the company deems fit and necessary in such manner as may for the time being, be provided by the regulations of the company and also the Companies Act".
…
18. That as per the MCA21 portal, the Transferor Company-1 has 7 active charges created with 4 Secured Creditors and the Transferor Company-2 has 1 active charge as on this date. In this regard, the Petitioner Companies may be directed to submit an affidavit enclosing NOC/ Consent from the Secured Creditors who charges are created in the MCA portal. Register of Charges of the Petitioner companies as per MCA portal is enclosed as Annexure- A.

19. That the Petitioners Companies may be directed to undertake to comply with the provisions of Section 240 of the Companies Act, 2013.

20. That the Transferee Company may be directed to file an amended Memorandum of Association containing, amendment to the capital clause for record purposes with the Registrar of Companies.

21. The scheme of Amalgamation filed with the application has been examined and submissions made more particularly at para 18,19 & 20 is

placed and pray that this Hon'ble Tribunal may dispose of the matter on merits and pass such order/orders as deemed fit and proper."

8.2. INCOME TAX DEPARTMENT

8.2.1. The Income Tax Department to whom the notice was served on 20.05.2025, has filed its report on 10.10.2025 and has expressed its 'Observations' and 'No Objection' to the Scheme as follows:

"2. On amalgamation all the assets and liabilities of the transferor companies' i.e KKP Weaving & Processing Mills Pvt Ltd and KKP Hi-Tech Weaving India Pvt Ltd will be transferred to the transferee company which is KKP Spinning Mills Pvt Ltd. However, as per the provisions of section 47(vi) of the Income-tax Act, 1961, any transfer, in a scheme of amalgamation, of a capital asset by the amalgamating company to the amalgamated company, if the amalgamated company is an Indian Company, then such transfer shall not be regarded as a transfer. In light of these provisions, the scope of capital gain in consequence to the amalgamation does not arise.

3. On amalgamation, regarding the taxability in the hands of the shareholders of the transferor companies' i.e KKP Weaving & Processing Mills Pvt Ltd & KKP Hi-Tech Weaving India Pvt Ltd, as per the provisions of section 47(vii) of the Income-tax Act, 1961, any transfer by a shareholder, in a scheme of amalgamation, of a capital asset being a share or shares held by him in the amalgamating company, if;

a) the transfer is made in consideration of the allotment to him of any share or shares in the amalgamated company except where the shareholder itself is the amalgamated company, and

b) the amalgamated company is an Indian Company; then such transfer shall not be regarded as a transfer.

In view of these provisions, the scope of capital gain in the hands of the shareholders of the transferor companies, in consequence to the amalgamation does not arise.

4. However, on perusal of the share holding pattern of the company M/s KKP Spinning Mills Pvt Ltd, it is seen that, the transferor companies are holding a part of the shares and after the amalgamation these shares will be extinguished. In this regard, though the transaction will not be taxable under the head "Income from Capital Gains" on a reading of the provisions of section 2(47) read with section 47 of the Income-tax Act, 1961, the application of the net asset method with the audited figures of 31.03.2025 by removing the number of shares held by the amalgamating companies for arriving at the value of the shares of the amalgamated company will substantially reduce the swap ratio.

5. A similar adjustment needs to be made to the net asset value method adopted by the amalgamating companies wherein the value of the shares held in the amalgamated company needs to be taken at zero as against market value, as no shares to such extent is to be disbursed by the amalgamated company.

6. Any surplus amount will attract the provisions of section 56 of the Income-tax Act, 1961 as section 47 of the Act only applies to the chapter of Capital Gains and not to the head of Income from Other Sources. It is also requested that, the department shall reserve the right to tax any surplus amount including any adjustments to the book value of any asset.

7. On perusal of the department records, it is noted that, the amalgamating companies are not having any demand due in their respective PANs and also no proceedings are pending before the department for completion, therefore, the above mentioned amalgamation is recommended by the department. However, it is recommended that, the effective date for amalgamation may be considered as 01.04.2026, so as to reduce the litigations regarding the tax credit mismatch of the employees of the transferor companies and other parties who are subjected to TDS as well as to provide the tax credit of the amalgamating companies in the hands of the amalgamated company on the filing of the return u/s 170A of the Income-tax Act, 1961."

8.2.2. It is stated that in the present scheme of merger by absorption the Income Tax Department can proceed with their proceedings if any and approval of this Scheme does not cause any prejudice.

8.2.3. In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> *"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in* ***RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj)*** *and the same being also affirmed by the Hon'ble Supreme Court and as reported in* ***(2016) 66 taxmann.com.374(SC)*** *from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."*

8.4. OFFICIAL LIQUIDATOR

8.4.1. The Official Liquidator to whom the notice was served on 19.05.2025, has filed its report on 14.08.2025 and has expressed its 'Observations' and 'No Objection' to the Scheme as follows,

> *"1. It is submitted that the joint company petition in CP(CAA)/27(CHE)/2025 filed by the petitioner companies 1 to 3 in the matter of Scheme of Amalgamation of KKP Weaving and Processing Mills Private Limited (1st Transferor Company) and KKP Hi-Tech Weaving*

India Private Limited (2nd Transferor Company) with KKP Spinning Mills Private Limited (Transferee Company) under Sections 230-232 of the Companies Act, 2013, the Hon'ble NCLT Division Bench (Court-II) vide its order dated 7/5/2025 in CP(CAA)/27(CHE)/2025 directed the petitioner companies to serve notice of petition to the Official Liquidator. The petitioner companies issued notices of petition dated 18/5/2025 received on 19/5/2025 to the Official Liquidator, High Court, Madras. On receipt of the said notice, the Official Liquidator on 22/5/2025 appointed M/s. A.N. Sankaran & Co., Chartered Accountant firm from list of Chartered Accountants empanelled by the office of the Official Liquidator based on the order dated 3/8/2015 in C.A. No.821/2015 in various companies passed by the Hon'ble High Court, Madras being maintained by this office to look into the Scheme of Amalgamation and scrutinize the books of accounts of the Transferor Companies 1 to 2 for the minimum last 3 years before and upto Appointed Date 1/4/2024 (2021-2022, 2022-203 & 2023-2024) and submit their report on the affairs of the Transferor Companies 1 to 2 in terms of Sections 230-232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013.

2. It is submitted that the Chartered Accountant has reviewed the books and accounts and other records of the 1st, 2nd Transferor Companies and submitted its report to this office. Copy of the same is enclosed herewith and marked as Annexure-A for kind perusal of this Hon'ble Tribunal.

…

3. That in accordance with the basis of notice served on 19/5/2025 to the Official Liquidator by the Transferor Companies 1 and 2 and also considering the conclusion made by the Chartered Accountants in their report dated 7/8/2025 as detailed above in para 2 of the report, the specific representation of Official Liquidator in respect of Transferor Company 1 and 2 and connected issues in the composite scheme is humbly submitted as follows:

(i) Employee protection undertaking:

That, the clauses 3.26 & 4.26 of the Scheme seeks to protect the employees of the Transferor Company-1 & Transferor Company-2 only if they are in service on a day prior to effective date, and hence, this Hon'ble Tribunal may be pleased to direct the companies to submit an undertaking to this Hon'ble Tribunal to the effect that there would be no retrenchment of any employee who were in service as on Appointed Date (1.4.2024) as well except in the event of their resignation on their own before the Effective Date.

(ii) Undertaking to fix Record Date immediately after sanction of the scheme and mutually:

That, the record date as defined in clause 2.11 of the scheme providing for fixing record date by the board of directors of transferee company alone. In this regard, this Hon'ble Tribunal may be pleased to direct the companies to submit an undertaking that they would mutually fix the record date immediately after sanction of the scheme and before the effective date / dissolution date.

(iii) Auto modification of scheme without prior consent of Tribunal:

That, the clause 1.9 in introduction of the scheme providing for auto modification of content of the scheme, post its sanction by this Hon'ble Tribunal, it is submitted that such auto modification of the content of the scheme to be in compliance with Income Tax Law, without the previous approval / sanction of this Hon'ble Tribunal will be in violation of section 231(1)(b) of the Companies Act, 2013 as every modification of the content of the Scheme requires approval by this Hon'ble Tribunal. Hence, this Hon'ble Tribunal may be pleased to direct the Transferor and Transferee Companies to delete / modify the clause 1.9 of the scheme by way of amendment to the scheme proposed, so as to ensure that no such auto amendment/modification of the Scheme takes place, post its sanction by this Hon'ble Tribunal or to submit an undertaking to this Hon'ble Tribunal to the effect that such auto modification of the content of the scheme will not be implemented without prior approval of this Hon'ble Tribunal.

4. Therefore, it is submitted that the Official Liquidator is of the humble opinion that the affairs of the Transferor Companies 1 and 2 appear to have not been conducted in a manner prejudicial to the interest of its members or to public interest subject to representation at para 3 above.

5. In view of the above, the Official Liquidator humbly submits that the above facts for consideration of this Hon'ble Tribunal and prays for the following orders: -

a. To take this report on record and consider the report of M/s. A.N. Sankaran & Co., Chartered Accountants and issue directions to the Transferor companies 1 and 2 and Transferee Companies, as deem fit;

b. To fix remuneration payable to the auditor who has scrutinized the affairs of the Transferor Companies 1 and 2 for the period of 3 years i.e. 2021-22, 2022-23 & 2023-24.

c. To direct the Applicant Companies to deposit such remuneration/ fee within the stipulated period as may be prescribed by this Hon'ble Tribunal,

d. And pass such order/orders as this Hon'ble Tribunal may deem fit and proper in the facts and circumstances of the case."

8.5. REPLY TO THE STATUTORY OBJECTIONS

The Petitioner companies have filed their response to the statutory objections and the same is extracted below:

Reply to the Regional Director: -

2. I state that the Regional Director (SR), Ministry of Corporate Affairs, Chennai has made observation/submission at paragraph 18, 19, and 20 in their Report. In response to the aforesaid observation of the Regional Director (SR), I give our reply on behalf of Transferor Companies and Transferee Company as follows:- Before Me

i) **Submission made in para 18 of the Report of RD(SR)**: That as per MCA21 portal, the Transferor Company-1 has 7 active charges created with 4 Secured Creditors and Transferor Company-2 has 1 active charge as on this date. In this regard, the Petitioner Companies may be directed to submit an affidavit enclosing NOC/Consent from the Secured Creditors who charges are created in the MCA portal. Register of Charges of the Petitioner Companies as per MCA portal is enclosed as **Annexure-A**..

Our Reply: As per MCA21 portal, the Annexure –A of RD(SR) report reflects only 5 charges from 3 secured creditors. In fact, the Transferor Company-1 has only 1 live Secured Creditor (Federal Bank Ltd) with only 2 active charges (Item No.1 & 2 of Annexure-A) totaling to Rs. 84,99,00,000/- The said one Secured Creditor has given consent affidavit for this Scheme of Amalgamation which constitute 100 % of the total secured credit value. (copy of consent affidavit filed before the NCLT in CA/CAA/6/CHE/2025 is filed herewith). The Transferor Company-1 had filed satisfaction of charges on 3.6.2025 for 1 charge (item No.4) which had already been settled and will take steps to file satisfaction of charges for remaining other 3 charges (Item 10 to 12) which had been settled long before the issuance of Chartered Accountant Certificate. The Transferor Company-2 has 1 subsisting charges with 1 secured creditor (The Karur Vysya Bank Ltd) who has given consent affidavit for this Scheme of Amalgamation which constitute 100% of the total secured credit value. (copy of consent affidavit filed before the NCLT in CA/CAA/6/CHE/2025 is filed herewith). Based on the above, the Hon'ble Tribunal has passed order dated 28.3.2025 in CA/CAA/6/CHE/2022025 to dispense with meeting of Secured Creditors of the Transferor Company-1 and Transferor Company -2 .

Therefore there is no need for the Transferor Company-1 to submit an affidavit enclosing NOC/Consent from the Secured Creditors whose settled charges are appearing in MCA portal. The Transferor Company-1/Transferee Company will take steps to file satisfaction of Charge with ROC for the 3 charges already settled. The value of the settled 3 charges are only Rs.63,20,000/- which constitute 0.74% of total secured credit value of the Transferor Company-1..

ii) **Submission made in para 19 of the Report of RD(SR)**: The Petitioners Companies may be directed to undertake to comply with the provisions of Section 240 of the Companies Act, 2013.

Our Reply: Section 240 of the Companies Act, 2013 read as follows. *"Notwithstanding anything in any other law for the time being in force, the liability in respect of the offences committed under this Act by the officers in default, of the Transferor Company prior to its merger, amalgamation or acquisition shall continue after such merger, amalgamation or acquisition."*

In Para 17, the RD(SR) have categorically said that "As per the report dated 25.07.2025 of ROC, Coimbatore, the Transferor Company-1, Transferor Company-2 and Transferee Company is regular in filing its annual return and filed up to the financial year 2023-24. No prosecution / Inquiry / Inspection / Investigation / complaints are pending against the Transferor Company. Therefore, as there is no liability as per the Report of RD(SR) as well as ROC, Coimbatore under Section 240, the observation of direction to undertaking of compliance of Section 240 is unnecessary. However, the Clause 3.4 (Transfer of Debts & Liabilities) of the Scheme, will take care of.

iii) **Submission made in para 20 of the Report of RD(SR)**: That the Transferee Company may be directed to file an amended Memorandum of Association containing amendment to the capital clause for record purpose with the Registrar of Companies. Before Me

Our Reply: It is a post-sanction statutory compliance. The Transferee Company will file the amended Memorandum of Association with the Registrar of Companies, Tamilnadu, Coimbatore.

Therefore it is prayed that this Hon'ble Tribunal may be pleased to consider the above submissions and order

a. That the Scheme of Amalgamation of M/s KKP Weaving and Processing Mills Private Limited, M/s KKP Hi-Tech Weaving India Private Limited with M/s KKP Spinning Mills Private Limited as per the Scheme – Annexure-7 hereto, be sanctioned by the Hon'ble Tribunal with effect from the Appointed Date 1st April, 2024 so as to be binding on all the Equity Shareholders, Secured Creditors and Unsecured Creditors of the 1st Transferor Company, 2nd Transferor Company and Transferee Company and on the 1st Transferor Company, 2nd Transferor Company and Transferee Company;
b. For dissolution of the 1st Transferor Company and 2nd Transferor Company;
c. To pass such other orders as this Hon'ble Tribunal may deem fit in the interest of Justice and Equity.

Reply to the Income Tax Authorities: -

4. Regarding the observation made in paragraph 2 & 3 of the attached letter No. NCLT/AAACK8959K/CIRCLE-1/ERD/2025-26 dated 6.10.2025 to the Memo, **the Petitioners have no dispute over them since they are in line with the provisions of Income-tax Act, 1961.**

5. Regarding the observation made in paragraph 4, 5 & 6 of the attached letter No. NCLT / AAACK8959K / CIRCLE-1 / ERD / 2025-26 dated 06.10.2025 to the Memo, the petitioners state that the observations are factually incorrect. **The valuation report dated 5.10.2024 filed before the Hon'ble NCLT (Page No. 232 to 278 of Typeset – II of CP/CAA/27/CHE/2025) was prepared by an independent valuer Mr.P.Prabhu, Chartered Accountant and Registered Valuer (Regn.No.IBBI/RV/06/2020/12993) based on the audited financial statements of the petitioner companies as on 31.3.2024 and the same is in full compliance with the prescribed valuation standard. This has been approved by all the stakeholders of the petitioner companies. Since the Petitioners had filed the Joint Company Application CA/CAA/6/(CHE)/2025 on 18.12.2024 and the Hon'ble Tribunal passed order thereon on 28.03.2025 itself, the question of valuation as on 31.3.2025 does not arise at all.**

Further, as per the provisions of the Companies Act, 2013, the Transferee Company cannot allot any shares to itself. Therefore, any shares held by the Transferee Company in the Transferor Companies will automatically be extinguished. It is fully inline the provisions of the Companies Act, 2013. Further, this will not attract provisions of section 56 of the Income-tax Act, 1961..

6. Regarding the observation made in paragraph 7 of the attached letter No. NCLT/AAACK8959K/CIRCLE-1/ERD/2025-26 dated 6.10.2025 to the Memo, **the Income-tax department stated that the Transferor Company-1 and Transferor Company-2 are not having any demand due in their respective PANs and also no proceedings are pending before the department for completion, therefore, the above mentioned amalgamation is recommended by the department. The Petitioners' stand is also the same.**

However, they recommend the effective date for amalgamation may be considered as 01.04.2026, so as to reduce the litigations regarding the tax credit mismatch of the employees of the Transferor Companies and other parties who are subject to TDS as well as to provide the tax credit of the amalgamating companies in the hands of the amalgamated company on the filing of the return u/s 170A of the Income Tax Act, 1961. **The Petitioners state that change of effective date as recommended by the Department will not be useful in any way without changing the Appointed Date to 01.04.2026. The Appointed Date as per the Scheme is 01.04.2024 which was approved by all the stakeholders.**

7. **The Hon'ble NCLAT in Joint Commissioner of Income Tax (OSD), Circle (3)(3)-1, Mumbai Vs Reliance Jio Infocomm Ltd in** Company Appeal (AT) Nos 113 and 114 of 2019, wherein the **Hon'ble NCLAT has held that in view of the decision of the Hon'ble SUPREME COURT in Department of Income Tax Vs Vodafone Essar Gujarat Ltd (2015) 16 SCC 629 wherein liberty was given to the Income Tax Department to take out appropriate proceedings for recovery of tax statutorily due from Transferor or transferee company or any other person liable to pay such tax due, the scheme of arrangement as approved by NCLT was not be interfered with.**

PLEASE REFER PAGE 6 to 20

In the light of the above, it is prayed that this Hon'ble Tribunal may be pleased to consider the above submissions and order sanction of the Scheme of Amalgamation and pass such other orders as this Hon'ble Tribunal may deem fit in the interest of justice and equity.

Reply to the Official Liquidator: -

2. I state that the Official Liquidator has made an observation at paragraph 3(i) that the Companies to submit an undertaking to the effect that there would be no retrenchment of any employee who were in service as on the Appointed Date (1st April, 2024) as well except in the event of their resignation on their own before the Effective Date. In response to the aforesaid observation of the Official Liquidator, I state on behalf of Transferor Companies and Transferee Company that there would be no retrenchment of any employees who were in service of the Transferor Companies as on the appointed date (1st April 2024) as well except in event of their resignations on their own before the Effective Date.

3. I state that the Official Liquidator has made an observation at paragraph 3(ii) that the Companies to submit an undertaking to the effect that they would mutually fix the record date immediately after sanction of the scheme and before the effective date/dissolution date. In response to the aforesaid observation of the Official Liquidator, I state on behalf of Transferor Companies and Transferee Company that they would fix the record date mutually immediately after the receipt of the sanction of the Scheme from this Hon'ble Tribunal and before the effective date/dissolution date.

4. I state that the Official Liquidator has made an observation at paragraph 3(iii) that the Companies to submit an undertaking to the effect that such auto modification of the content of the Scheme will not be implemented without prior approval of this Hon'ble Tribunal. In response to the aforesaid observation of the Official Liquidator, I state on behalf of Transferor Companies and Transferee Company that auto modification as stated in clause 1.9 of the content of the scheme will not be implemented without prior approval of this Hon'ble Tribunal.

9. ACCOUNTING TREATMENT

It is stated that the certificates issued by the Statutory Auditors certifying the Accounting Treatment of the petitioner companies are in compliance with Section 133 of the Companies Act, 2013 are placed on record.

10. VALUATION

In Part 5, Clause 5.1 of the Scheme, it is stated that upon the coming into effect of this Scheme as per the Clause V of the Memorandum of Association of the Transferee Company (relating to the authorized share capital) shall, without any further act, instrument or deed, be and stand altered, modified and amended pursuant to the applicable provisions of the Act, in the manner set out below and be replaced by the following clause, as may be recognized by the Board of Petitioner Companies in the following proportion on the basis of the valuation report dated 5th October 2024 issued by CA P Prabhu, a registered valuer holding Certificate of Practice No. IBBI/RV/06/2020/12993 and approved by the Board of Transferee Company and Transferor Company:

> *"One Equity share of Rs.1000/- each in the Transferee Company for every 4 Equity shares of Rs.100/- held in the 1st Transferor Company."*
> *"One Equity share of Rs.1000/- each in the Transferee Company for every 73 Equity shares of Rs.10/- held in the 2nd Transferor Company."*

The Share Valuation Report issued by ***CA P Prabhu, RV No. IBBI/RV/06/2020/12993*** in respect of this Scheme has been annexed to the application from which share values are extracted as follows,

> *"Based on the valuation of shares (Refer my report dt. 05th October, 2024) of KKP Spinning Mills Private Limited ("KKPSMPL"), KKP HI Tech Weaving India Private Limited("KKPHTWIPL") and KKP Weaving and*

processing Mills Private Limited("KKPWPMPL"), the recommended swap ratio of the proposed merger is given below:

Particulars	KKPWPMPL	KKPHTWIPL	KKPSMPL
	Transferor	Transferor	Transferee
Method used to arrive at fair value	Net asset	Net asset	Net asset
Net Asset Value	Rs.3080.15 lakhs	Rs.2361.95 lakhs	Rs.10788.77 lakhs
Number of shares	258600	3420069	213374
Face Value of share	100	10	1000
Fair Value of Share	1191	69	5056
Swap Ratio	0.2355	0.0136	1.000
Swap shares	One share of KKPSMPL will be issued for every 4 shares of KKPWPMPL	One share of KKPSMPL will be issued for every 73 shares of KKPHTWIPL	
No. shares to be issued by KKPSMPL	64650	46850	

11. OBSERVATIONS OF THIS TRIBUNAL

11.1. This Tribunal is of the view that the scheme as contemplated by the Petitioner companies seems to be *prima facie* not, in any way detrimental to the interest of the members of the Companies. In view of the absence of any material objections from any statutory authorities and since all the requisite statutory compliances have been fulfilled, this Tribunal sanctions the Scheme of Amalgamation as well as the prayer made therein.

11.2. Notwithstanding the above, if there is any deficiency found or, the violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the petitioners.

11.3. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/

compliance with any other requirement which may be specifically required under any law.

12. THIS TRIBUNAL DO FURTHER ORDER

(i) That all properties, rights and interests of the 1st and 2nd Petitioner Companies shall, pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the 3rd Petitioner Company in terms of the Scheme.

(ii) That all the liabilities, powers, engagements, obligations and duties of the 1st and 2nd Petitioner Companies shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the 3rd Petitioner Company in terms of the Scheme.

(iii) That the 'Appointed Date' for the Scheme shall be **01.04.2024** as mentioned in Part -2, Clause 2.3 of the Scheme.

(iv) That the 'Effective Date' shall be defined as per in the Part-2, Clause 2.4 of the scheme.

(v) That the 'Record Date' for the Scheme shall be defined as per the Part-2, Clause 2.11 of the Scheme.

(vi) That all proceedings now pending by or against the 1st and 2nd Petitioner Companies shall be continued by the 3rd Petitioner Company.

(vii) That all the employees/ workmen of the 1st and 2nd Petitioner Companies in service on the date immediately preceding the date on which the Scheme finally takes effect shall become the

employees of the 3rd Petitioner Company without any break or interruption in their service with all the benefits.

(viii) That the 3rd Petitioner Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, concerned and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the 3rd Petitioner Company after setting off the fees paid by the 1st and 2nd Petitioner Companies.

(ix) That the Petitioner Companies, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Registrar of Companies shall place all documents relating to the 1st and 2nd Petitioner Companies registered with him on the file kept by him in relation to 3rd Petitioner Company shall be consolidated accordingly.

(x) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

13. Accordingly, the Company Petition **CP(CAA)/27(CHE)/2025** stands **Allowed** on the aforementioned terms and is disposed of.

-Sd/-	-Sd/-
RAVICHANDRAN RAMASAMY	**JYOTI KUMAR TRIPATHI**
MEMBER (TECHNICAL)	MEMBER (JUDICIAL)